

LIVE

Learning Space

NEWSPAPER

8th JAN, 2019

ITEM WISE EDITORIALS

2nd WEEK



INDIA - BANGLADESH... MATURITY IN TIES

UPSC CSE – GS II

GS II ... International Relations



Learning Space

LIVE



NEWSPAPER EDITORIALS

... DISCUSSION

8th JANUARY, 2019

5

The bilateral transformation

India and Bangladesh must seize the opportunity to further enhance connectivity and trade ties



PINAK RANJAN CHAKRAVARTY

The spectacular victory of the Grand Alliance led by the Awami League (AL), headed by incumbent Prime Minister Sheikh Hasina, in Bangladesh's 11th general election, has delighted her supporters. This election is also a milestone for the coming of age of a new generation which is sorely aspirational and is tired of the old political discourse that had deeply divided politics in Bangladesh. They have voted for economic progress and a secular polity.

The margin of victory has shocked and dismayed the Opposition parties that had coalesced in the National Unity Front (NUF), a coalition at whose core is the Bangladesh Nationalist Party (BNP), the AL's bitter political rival. Former AL stalwart and famous jurist Kamal Hossain provided the leadership glue for the Opposition coalition. Nominally led by its Chairperson, former Prime Minister Khalesa Zia, currently in jail for corruption, the BNP's guiding force is U.K.-based acting Chairman Tarique Rahman, her controversial son who fled from the country in 2008 and lives in exile. He is convicted of money laundering and conspiracy to murder.

Brute majority

The AL has obtained a brute majority of 288 seats in a unicameral Parliament which has 300 directly-elected seats and 50 seats reserved for women. The latter are elected by the electoral college of directly-elected MPs, with proportional representation to parties elected to the Parliament.

Mr. Hossain's monumental failure to deliver has left him and others

or Opposition leaders hurling allegations that the elections were "farious" and asking that new elections be held under a non-partisan caretaker administration. The NUF managed to win just seven seats. The Election Commission, while taking note of some electoral malpractices and promising investigation, has declared the results valid and rejected the demand for new elections.

The margin of victory has lent some traction to persistent allegations of electoral malpractices, including the Opposition, large-scale arrests of Opposition workers and intimidation of voters. Election-related violence on polling day claimed 17 lives. Several Opposition candidates withdrew from the fray, citing violent obstruction by AL workers, kidnapping of their election agents and voters being obstructed from casting their votes. Yet international observers have concluded that the elections were largely peaceful, fair and credible.

Though dogged by two consecutive controversial elections and increasing perceptions of authoritarian behaviour, Ms. Hasina is set for another five-year term in office. She has an enviable record of delivering record economic growth. Bangladesh's GDP grew at a rate of 7.6% in the last quarter, making it one of the fastest growing economies in the world.

A bipartisan consensus

During the last decade of Ms. Hasina's tenure as Prime Minister, high-level Bangladesh-India engagement has intensified. There is an irreducible and irreversible bipartisan political consensus in India for upgrading relations across a comprehensive interface of ties. India's 'neighbourhood policy' has focused on Bangladesh, which has emerged as a key interlocutor in India's 'Act East Policy' and sub-regional groupings like BIMSTEC. Day of Bengal Initiative for Multi-Sectoral Technical and



Economic Cooperation and the BBIN (Bangladesh, Bhutan, India, Nepal) Initiative. In Bangladesh too, a growing domestic political consensus, overriding factional politics, has emerged in favour of closer ties with India. Denial of support to Indian insurgent groups, with insurgent leaders handed over to India, has progressively built trust and confidence between the two countries. Bangladesh is India's largest trading partner in South Asia with an annual turnover of around \$9 billion plus an estimated informal trade of around \$8-9 billion, across the 4,300 km-long porous border. Cooperation in connectivity, energy, security and intelligence matters has intensified. The Padma multipurpose bridge and the Alghaura Agartala rail link will dramatically change connectivity within Bangladesh and with India. Waterways are also being revived to reduce the cost of trade.

Improvement in bilateral ties has led to newer areas of cooperation such as cyberspace. Bangladesh has provided cyber connectivity between the international gateway at Cox's Bazar to Agartala for faster internet connectivity in India's northeastern states. India has also become a partner in Bangladesh's nuclear power programme, with the beginning of construction at the Rooppur nuclear power plant. India is poised to export around 800 MW of power to meet the energy deficit in Bangladesh. Power projects totalling more than 3600 MW are under implementation by Indian companies.

The adverse balance of trade has been a bilateral issue. The asymmetry in the economies of India and Bangladesh is the major factor. To enable more Bangladeshi exports to flow into India, duty-free entry was granted in 2011 under the South Asian Free Trade Area. This has led to an increase in exports from Bangladesh from around \$350 million to the current level of around \$900 million. Bangladesh's exports have plateaued because of demand constraints in India and also because of limited items in the Bangladesh export basket. An SEZ in Bangladesh for Indian manufacturing companies has been mooted and notified. When operational it will encourage Indian companies to manufacture there and export to India. Indian investment in Bangladesh has reached \$3 billion. In 2017, \$3 agreements worth around \$10 billion were signed in the power and energy sectors.

To offset the economic asymmetry, India has granted Bangladesh generous lines of credit (LOCs) and grants, with commitments reaching \$8 billion. While LOCs mainly cover infrastructure and connectivity projects, grants flow into social sector development. Capacity building under the Indian Technical and Economic Cooperation programme is an important strand in bilateral ties and people-to-people interaction. Bangladeshis are among the largest groups of tourists into India. The visa regime has been liberalised and over a million visas are issued to Bangladeshi citizens annually.

With the rise of religious radicalism and terrorism, defence and security issues will require greater cooperation. Bangladesh has taken strong and effective steps

against those who have been inspired by the Islamic State and involved in terrorist strikes. Islamist organisations have been breeding grounds for religious radicals and extremist views. These forces will pose a considerable challenge for governance in Bangladesh in the future. With the massive loss, the NUF is likely to boycott the Parliament and take to street agitation, warring Bangladesh's reputation as a democracy.

Challenges ahead

There will be setbacks in India-Bangladesh ties, like the current Rohingya issue, which has imposed a huge economic and security burden on Bangladesh. Bilaterally, the issue of the illegal migration has already acquired a high profile in India with the publication of the draft National Register of Citizens in Assam. This will require deft handling of bilateral ties. Sharing of river waters will remain a challenge, but not an insurmountable one.

China's security and economic footprint has grown in South Asia and managing this will remain a challenge for both countries. While Bangladesh is overwhelmingly dependent on military hardware from China, India has provided a \$500 million LOC for procurement of defence-related goods from India. This momentum must be maintained and intensified.

India has welcomed the election results and Prime Minister Narendra Modi was the first leader to telephone and congratulate Ms. Hasina. Bangladesh-India relations have reached a stage of maturity and with further upgrading and integration of infrastructure, bilateral ties can be expected to grow stronger in the future.

Pinak Ranjan Chakravarty, a Distinguished Fellow at the Observer Research Foundation, is a former diplomat. He has served as High Commissioner of India to Bangladesh.

UPSC CSE – GS II

GS II ... International Relations

India and its neighborhood- relations.

IMPORTANT QUESTION

ESSAY/ MAINS / GD / INTERVIEWS

“Bangladesh-India relations have reached a stage of maturity and it contrasts with the relations with Nepal, Sri Lanka, Maldives”. Do you agree? Analyze in totality and also examine various irritants.

5 The bilateral transformation

2nd January, 2019

India and Bangladesh must seize the opportunity to further enhance connectivity and trade ties

The spectacular victory of the Grand Alliance led by the Awami League (AL), headed by incumbent Prime Minister Sheikh Hasina, in Bangladesh's 11th general election, has delighted her supporters. This election is also a milestone for the coming of age of a new generation which is avowedly aspirational and is tired of the old political discourse that had deeply divided politics in Bangladesh. They have voted for economic progress and a secular polity.

The margin of victory has shocked and dismayed the Opposition parties that had coalesced into the National Unity Front (NUF), a coalition at whose core is the Bangladesh Nationalist Party (BNP), the AL's bitter political rival. Former AL stalwart and famous jurist Kamal Hossain provided the leadership glue for the Opposition coalition. Nominally led by its Chairperson, former Prime Minister Khaleda Zia, currently in jail for corruption, the BNP's guiding force is U.K.-based acting-Chairman Tarique Rahman, her controversial son who fled from the country in 2008 and lives in exile. He is convicted of money laundering and conspiracy to murder.

Brute majority

The AL has obtained a brute majority of 288 seats in a unicameral Parliament which has 300 directly-elected seats and 50 seats reserved for women. The latter are elected by the electoral college of directly-elected MPs, with proportional representation to parties elected to the Parliament.

5 The bilateral transformation

2nd January, 2019

Mr. Hossain's monumental failure to deliver has left him and other Opposition leaders hurling allegations that the elections were "farcical" and asking that new elections be held under a non-partisan caretaker administration. The NUF managed to win just seven seats. The Election Commission, while taking note of some electoral malpractices and promising investigation, has declared the results valid and rejected the demand for new elections.

The margin of victory has lent some traction to persistent allegations of electoral malpractices, hounding of the Opposition, large-scale arrests of Opposition workers and intimidation of voters. Election-related violence on polling day claimed 17 lives. Several Opposition candidates withdrew from the fray, citing violent obstruction by AL workers, kidnapping of their election agents and voters being obstructed from casting their votes. Yet international observers have concluded that the elections were largely peaceful, fair and credible.

Though dogged by two consecutive controversial elections and increasing perceptions of authoritarian behaviour, Ms. Hasina is set for another five-year term in office. She has an enviable record of delivering record economic growth. Bangladesh's GDP grew at a rate of 7.6% in the last quarter, making it one of the fastest growing economies in the world.

5 The bilateral transformation

2nd January, 2019

A bipartisan consensus

During the last decade of Ms. Hasina's tenure as Prime Minister, high-level Bangladesh-India engagement has intensified. There is an irrevocable and irreversible bipartisan political consensus in India for upgrading relations across a comprehensive interface of ties. India's 'neighbourhood policy' has focussed on Bangladesh, which has emerged as a key interlocutor in India's 'Act East Policy' and sub-regional groupings like BIMSTEC (Bay of Bengal Initiative for Multi-Sectoral Technical and Economic Cooperation) and the BBIN (Bangladesh, Bhutan, India, Nepal) Initiative. In Bangladesh too, a growing domestic political consensus, overriding fractious politics, has emerged in favour of close ties with India. Denial of support to Indian insurgent groups, with insurgent leaders handed over to India, has progressively built trust and confidence between the two countries. Bangladesh is India's largest trading partner in South Asia with an annual turnover of around \$9 billion plus an estimated informal trade of around \$8-9 billion, across the 4,100-km-long porous border. Cooperation in connectivity, energy, security and intelligence matters has intensified. The Padma multipurpose bridge and the Akhaura-Agartala rail link will dramatically change connectivity within Bangladesh and with India. Waterways are also being revived to reduce the cost of trade.

5 The bilateral transformation

2nd January, 2019

Improvement in bilateral ties has led to newer areas of cooperation such as cyberspace. Bangladesh has provided cyber connectivity between the international gateway at Cox's Bazar to Agartala for faster Internet connectivity in India's northeastern States. India has also become a partner in Bangladesh's nuclear power programme, with the beginning of construction at the Rooppur nuclear power plant. India is poised to export around 1100 MW of power to meet the energy deficit in Bangladesh. Power projects totalling more than 3600 MW are under implementation by Indian companies.

The adverse balance of trade has been a bilateral issue. The asymmetry in the economies of India and Bangladesh is the major factor. To enable more Bangladeshi exports to flow into India, duty free entry was granted in 2011 under the South Asian Free Trade Area. This has led to an increase in exports from Bangladesh from around \$350 million to the current level of around \$900 million. Bangladeshi exports have plateaued because of demand constraints in India and also because of limited items in the Bangladeshi export basket. An SEZ in Bangladesh for Indian manufacturing companies has been mooted and notified. When operational it will encourage Indian companies to manufacture there and export to India. Indian investment in Bangladesh has reached \$3 billion. In 2017, 13 agreements worth around \$10 billion were signed in the power and energy sectors.

To offset the economic asymmetry, India has granted Bangladesh generous lines of credit (LOCs) and grants, with commitments reaching \$8 billion. While LOCs mainly cover infrastructure and connectivity projects, grants flow into social sector development. Capacity building under the Indian Technical and Economic Cooperation programme is an important strand in bilateral ties and people-to-people interaction. Bangladeshis are among the largest groups of tourists into India. The visa regime has been liberalised and over a million visas are issued to Bangladeshi citizens annually.

5 The bilateral transformation

2nd January, 2019

With the rise of religious radicalism and terrorism, defence and security issues will require greater cooperation. Bangladesh has taken strong and effective steps against those who have been inspired by the Islamic State and involved in terrorist strikes. Islamist organisations have been breeding grounds for religious radicals and extremist views. These forces will pose a considerable challenge for governance in Bangladesh in the future. With the massive loss, the NUF is likely to boycott the Parliament and take to street agitation, sully Bangladesh's reputation as a democracy.

Challenges ahead

There will be setbacks in India-Bangladesh ties, like the current Rohingya issue, which has imposed a huge economic and security burden on Bangladesh. Bilaterally, the issue of the illegal migration has already acquired a high profile in India with the publication of the draft National Register of Citizens in Assam. This will require deft handling of bilateral ties. Sharing of river waters will remain a challenge, but not an insurmountable one.

China's security and economic footprint has grown in South Asia and managing this will remain a challenge for both countries. While Bangladesh is overwhelmingly dependent on military hardware from China, India has provided a \$500 million LOC for procurement of defence-related goods from India. This momentum must be maintained and intensified.

India has welcomed the election results and Prime Minister Narendra Modi was the first leader to telephone and congratulate Ms. Hasina. Bangladesh-India relations have reached a stage of maturity and with further upgrading and integration of infrastructure, bilateral ties can be expected to grow stronger in the future.

FIVE YEARS OF HIGH LEVEL BANGLADESH-INDIA ENGAGEMENT!

LIVE

7 Revival of waterways to enhance the trade.

6 Bangladesh is India's largest trading partner in South Asia with annual trade of around \$ 9 bn along with an estimated informal trade of around \$ 8-9 bn, across more than 4,000 km long border.

5 Number of Integrated Check Posts to facilitate movement of goods and passengers.



1 India's Act East Policy with thrust on BIMSTEC and BBIN initiatives.

2 Denial of support to Indian insurgent groups with insurgent leaders handed over to India.

3 Many bus and train routes have been operationalized. It allowed bus service to North-East via Bangladesh.

4 Projects like Agartala-Akhaura rail line will lead to more integration.

INDIA-BANGLADESH
RELATIONS ON RIGHT TRACK



FIVE YEARS OF HIGH LEVEL BANGLADESH-INDIA ENGAGEMENT!

LIVE



15 There are about a dozen agreements amounting to \$ 10 billion of Indian private investment in Bangladesh.

14 The flow of tourists has increased to the extent that Bangladesh proposed to set up a diplomatic mission in Chennai.

13 Land boundary issue of enclaves was settled permanently.

12 Power projects totalling more than 3,600 MW are under implementation by Indian companies.

8 A \$ 7.5 bn Line of Credit has been approved for infrastructure and other projects in Bangladesh.

9 Bangladesh provided cyber connectivity between international gateway at Cox's Bazar to Agartala for faster Internet connectivity to India's north-eastern States

10 India is associated with the construction of Rooppur nuclear power plant.

11 India is going to export around 1,100 MW of power to meet the energy deficit in Bangladesh.

TRADE ASYMMETRY ... THE MAIN ISSUE!



SEZ in Bangladesh for Indian manufacturing companies is mooted with a view to correct the trade asymmetry.

- 1** The asymmetry in the Balance of Trade is the main issue.
- 2** In fact, to promote exports, duty free entry was granted in 2011 under the South Asian Free Trade Area (SAFTA).
- 3** This resulted in increase in exports from Bangladesh from around \$ 350 mn to around \$ 900 mn.
- 4** Bangladesh exports have plateaued because of demand constraints in India and also because of limited items in the Bangladeshi export market.

MORE COOPERATION BETWEEN INDIA AND BANGLADESH

LIVE

- 5 The visa regime is liberalised, over a million visas are issued to Bangladeshi citizens annually.

- 1 India granted generous LoCs with commitments reaching \$ 7.5 bn.
- 2 They mainly cover infrastructure and connectivity projects. Grants also flow into social sector development.
- 3 Capacity building under the Indian Technical and Economic Cooperation Programme is another important aspect.
- 4 Bangladeshis are among the largest groups of tourists into India.

INDIA-BANGLADESH RELATIONS!

LIVE

6 Bangladesh is overwhelmingly dependent on China for military hardware.

5 China's economic footprint is growing.

Bangladesh-India relations have reached a stage of maturity. Bilateral ties can be expected to grow stronger in the future. Incidentally, the Prime Minister is the first leader to telephone and congratulate Sheikh Hasina!



BUT, WHAT ARE THE
IRRITANTS?



1 With the publication of the draft National Register of Citizens in Assam, the issue of illegal migration will come to the Centre stage.

2 Teesta river water dispute is another irritant.

3 Rohingyas, though not directly connected to India, are putting huge financial burden.

4 India could not get bipartisan support from both the Political Parties in Bangladesh.

WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

Presented by



Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

OUR TEAM

G. V. Rao

K. Srikanth

D. Sunil Kumar

L. V. Krishna

Y. Deepthi

Amrita Naidu

M. Binukrishna

G. Ravi Babu

D. Joji

K. Victor Babu

Visit us at:

www.learningspacedigital.com

0 8 6 6 -2 4 4 4 4 7 2

0 9 8 4 9 9 4 2 2 9 9